

WAGE AND SALARY ADMINISTRATION POLICY

Rationale

An effective salary administration system ensures fairness, motivates employees, and helps attract and retain top talents. Thus, the University of Mindanao is committed to develop and implement an effective wage and salary administration system.

Scope

This Policy covers all employees of the University including its branches.

Guiding Principles

Adherence to Labor Laws and Regulations. Employee compensation and benefits must be compliant with labor laws and regulations.

Fairness and Equity. Ensure equal pay for equal work, regardless of gender, race, religion, or other factors. Similar jobs should receive similar compensation, while jobs requiring greater skills or responsibilities should be compensated accordingly.

Alignment with University Goals. Compensation structure should support University strategies and advance University objectives.

Competitiveness of Compensation. Compensation must be competitive with what similar organizations offer for comparable positions.

Sustainability. Salary structures should be financially sustainable for the University.

Flexibility. The system must be flexible to respond to changing conditions such as adjustments in the minimum wage, company growth, industry trends, and economic downturns.

Performance-based Increases and Benefits. The system must provide performance-based increases and bonuses, including non-monetary recognition.

Employee Involvement. Employees shall be consulted in designing and reviewing compensation systems.

Transparency. In order to build trust and reduce misunderstandings, the method by which salaries are determined and the criteria for salary increases shall be made available to the employees.

Monitoring and Evaluation. A periodic review of salary scales shall be conducted to identify and address disparities. A regular salary survey shall also be conducted to benchmark compensation against competitors.

A periodic review shall be conducted to assess whether the overall compensation structure remains appropriate given the changing organizational needs and market conditions.

Responsibility

The Human Resource Management and Development Office shall be responsible for designing and recommending a wage and salary administration system for the University, including the periodic review thereof, in accordance with the foregoing principles.

Signed:

(Sgd) GUILLERMO P. TORRES, JR.
University President

Reference

OPM 4.06 – Wage and Salary Administration Policy, Effective June 01, 2017; Rev. 0